



Enterprise Alignment through EA

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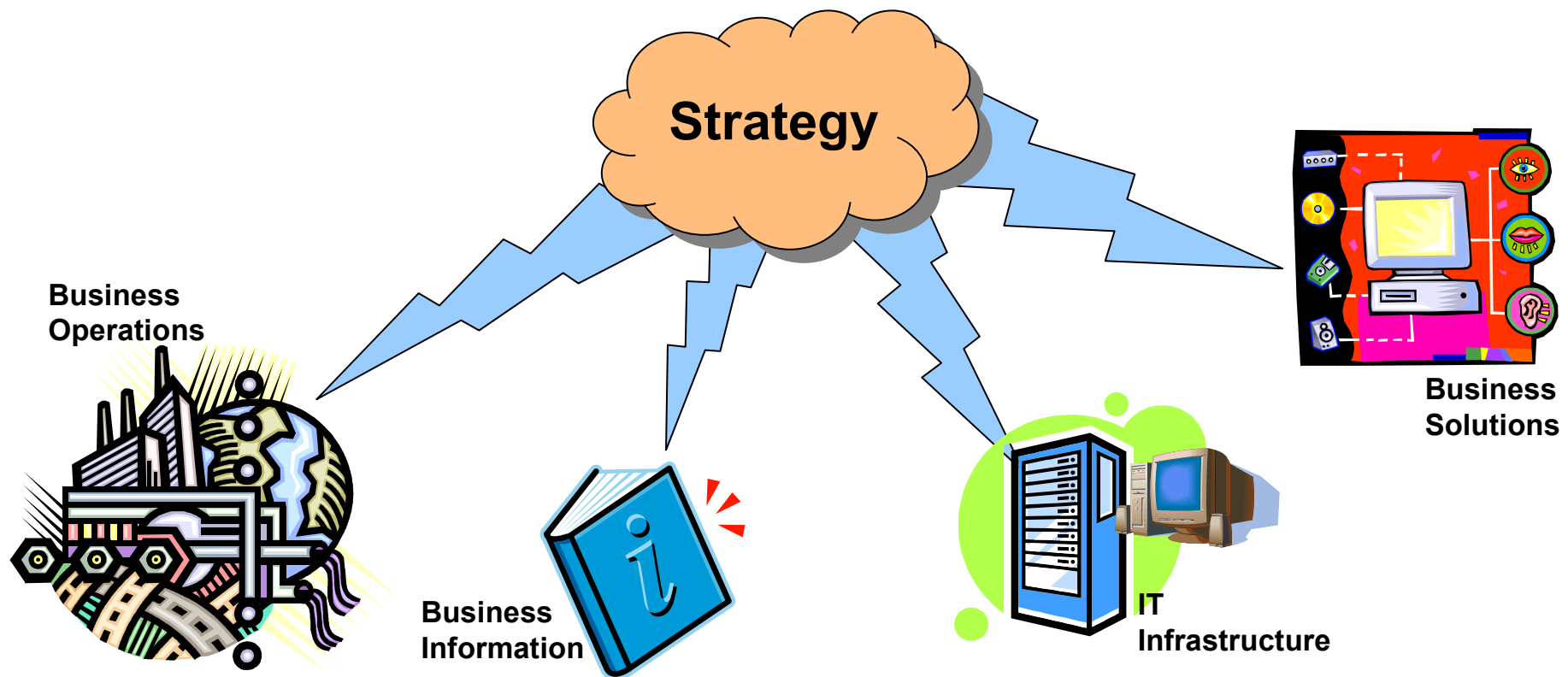
So, you've been given the assignment to create enterprise strategic alignment but you're not sure what that means. You have a good sense of your business strategy and tactical priorities, and you also know your current systems and environment. What should you do?

How do you get from strategy to implementation and drive global, coordinated and longer-term enterprise transformation? Enterprise Architecture (EA) is the core to that process. It helps organizations visualize a holistic perspective on how business operating models, processes, information, infrastructure and systems must come together and then helps realize that vision through the actionable deliverables that guide analysis and implementation. Achieving enterprise alignment involves changing how the organization thinks and operates, looking beyond the work at hand to incorporate an enterprise context into decision-making. In this session, we will explore the techniques and approaches leading organizations use to institutionalize EA as a management competency.

- **The EA discipline continues to evolve as more and more executives, practitioners and business-side leaders begin to appreciate its strengths.**
 - More attention, visibility and executive emphasis
 - Higher or new expectations
 - Less tolerance for ivory-tower, theoretical perspectives and perfectionism
 - More focus on leadership, professionalism and results
- **Uniting Business and Information Technology requires addressing perceptions between the business and IT communities**
- **Our On-Going Challenge as Enterprise Architects is to demonstrate leadership in helping to address “Alignment” concerns**

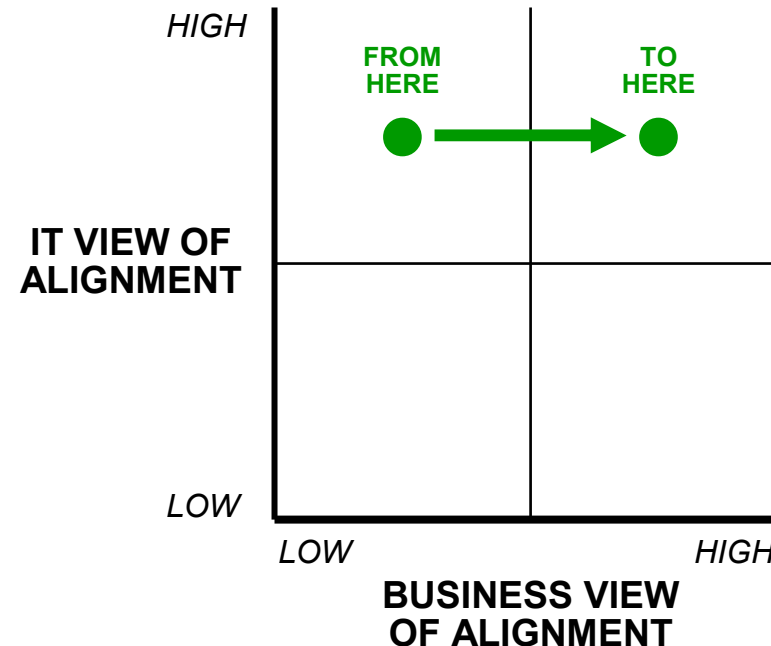
How to Get There? - The Problem

- How can an enterprise establish a reasonable idea for all that has to happen in a complex organization to accommodate necessary change in support of business transformation?



That “Alignment” Thing

- **Business/IT Alignment is a recurring issue**
 - Business transformation
 - Business growth
 - Competitive changes
 - Economic conditions
 - Leadership changes
 - Etc.
- **The degree of alignment is often determined by perception**
- **Very common that IT Leadership views ‘business and IT’ as more aligned than Business Leadership**
- **Often IT is correct but can’t demonstrate alignment in a way that is meaningful to the business**



“What Is It You Are Trying To Align?”

Business

Does 'Business' mean...

Business Objectives?

Business Strategies?

Business Processes?

Business Value?

....?

IT

Does 'IT' mean...

IT Projects?

Application Portfolio?

Technical Infrastructure?

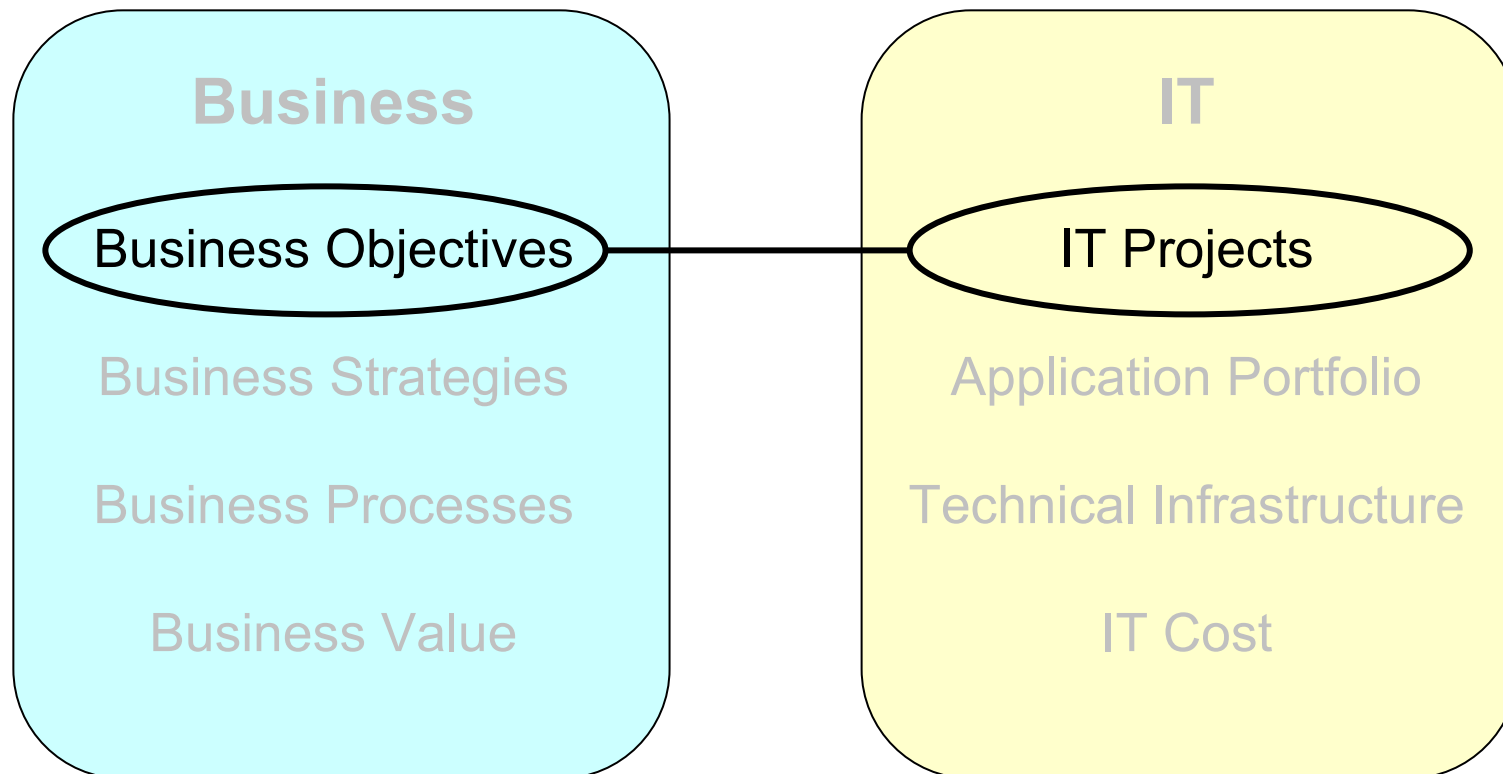
IT Cost?

....?

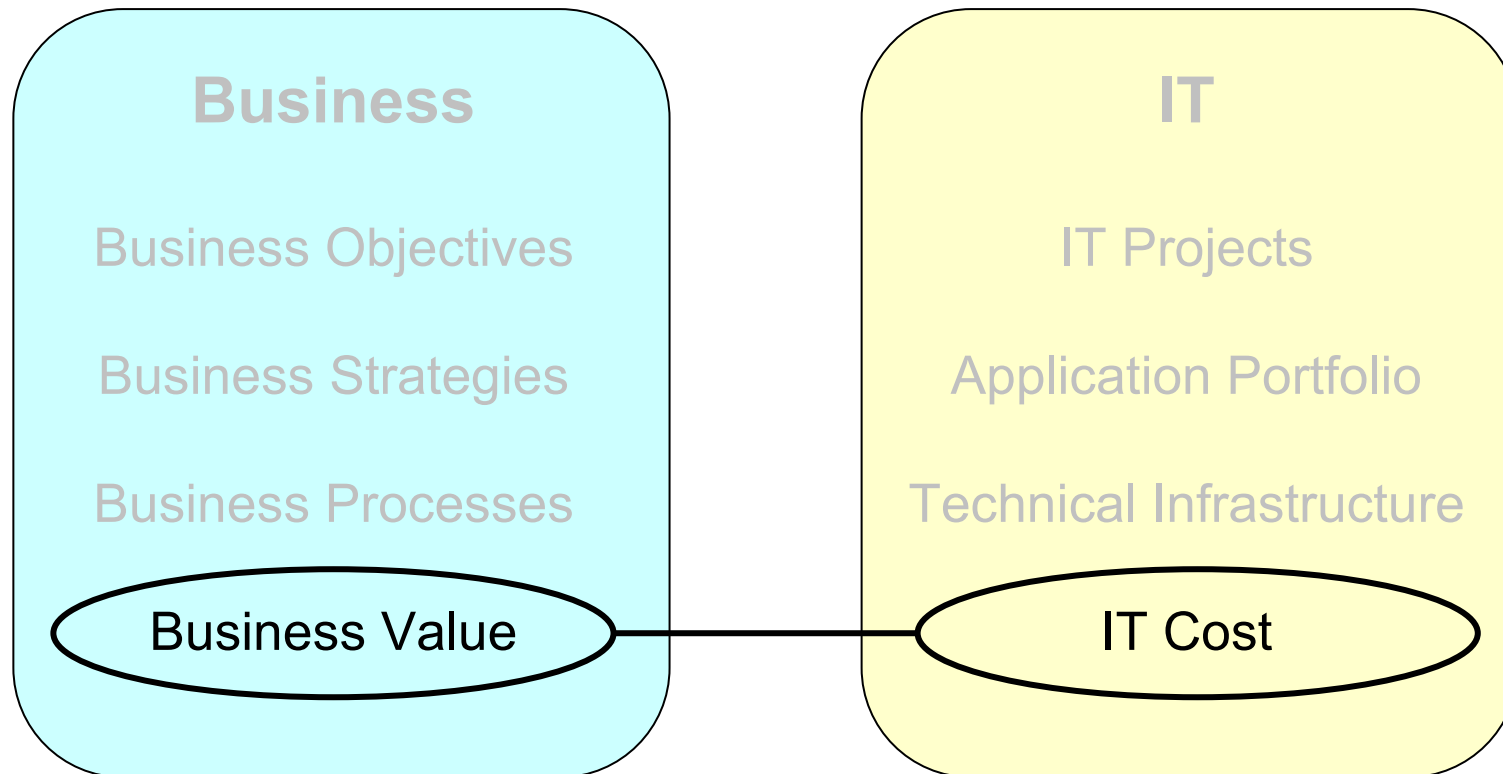
The challenge is Enterprise Ambiguity

The words 'Business' and 'IT' mean different things to different people

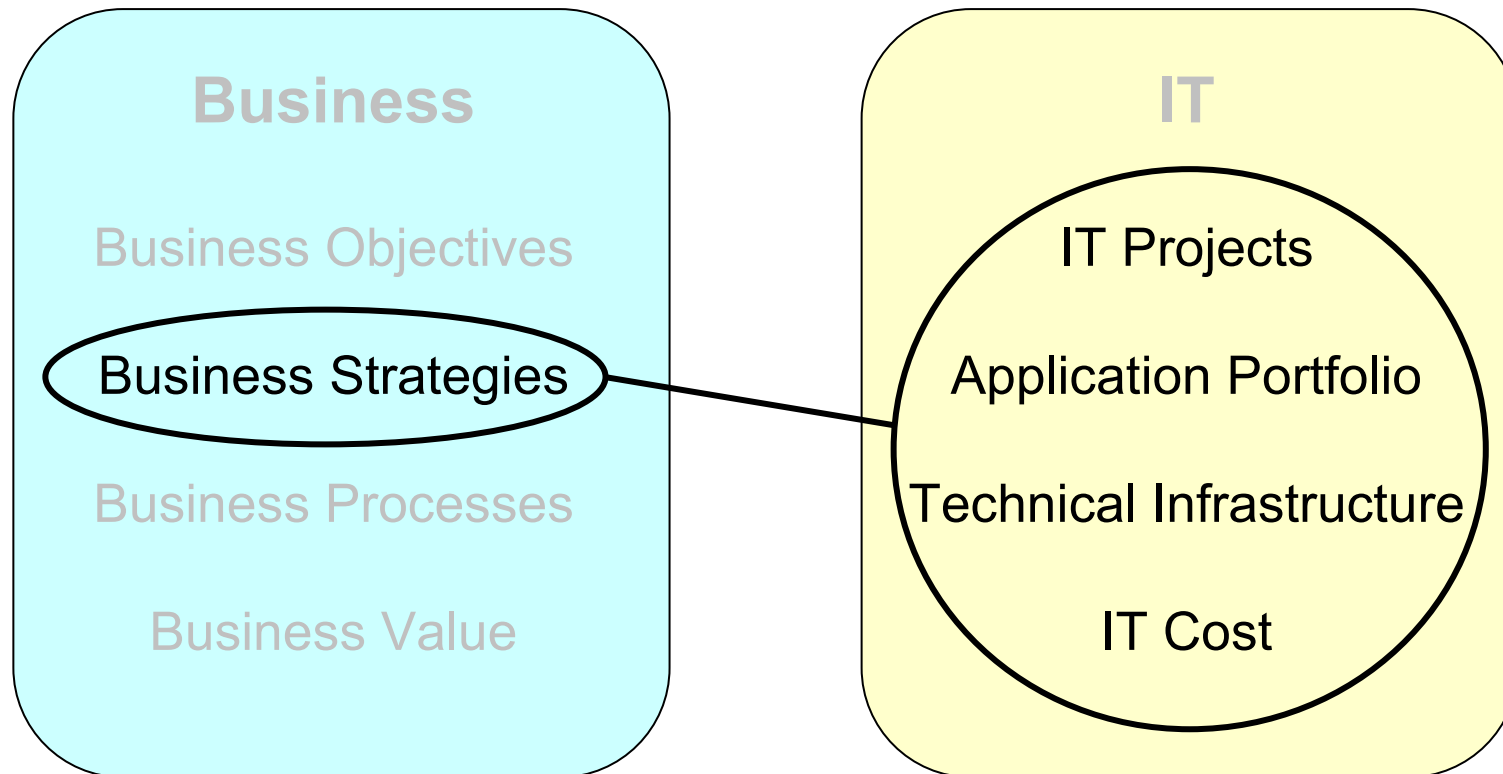
When BU leadership, COOs and many CIOs say
“Business/IT Alignment” they usually focus on...



When CFOs say “Business/IT Alignment” they usually focus on...



**When CEOs and the Board say “Business/IT Alignment”
they usually focus on...**



“What Is It You Are Trying To Align”?

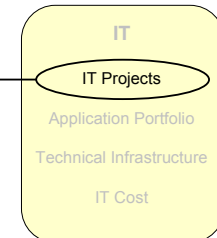
- “Business/IT Alignment” has many possible interpretations & expectations
- Different audiences have different interpretations
- There are many possible combinations assuming only 4 definitions for ‘Business’ and 4 definitions for ‘IT’

ACTION ITEMS

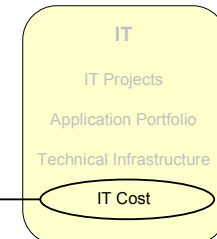
- Identify the different definitions and expectations for ‘Business/IT Alignment’ within your organization
- Make sure you account for the breadth of definitions and expectations in your efforts

RANGE OF EXPECTATIONS

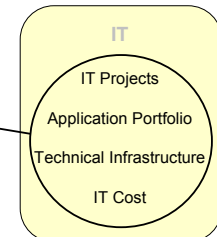
BUs
COOs
CIOs



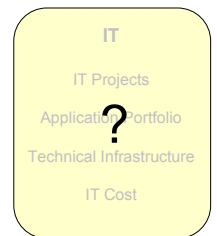
CFOs



CEOs
Boards



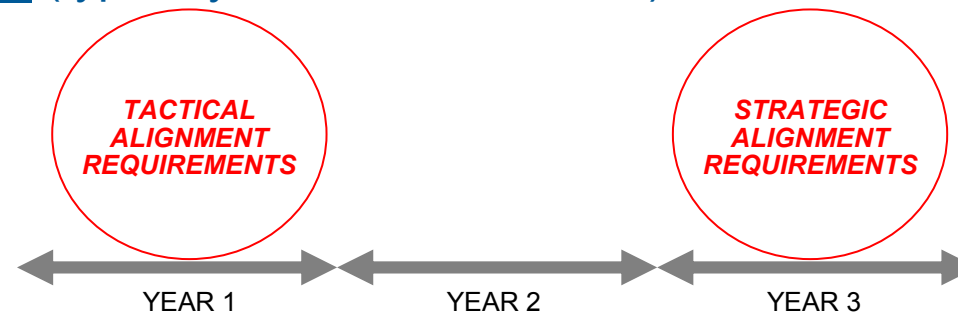
?



“What Is The Alignment Horizon?”

Alignment Horizon

- The **Alignment Horizon** refers to the period of time in which the specific Audience (or Audience member) wants to see “**Business/IT Alignment Achieved**”
- Some Audience members may be concerned with tactical alignment (typically 12 months or less)
- Some Audience members may be concerned with strategic alignment (typically 24 months or more)

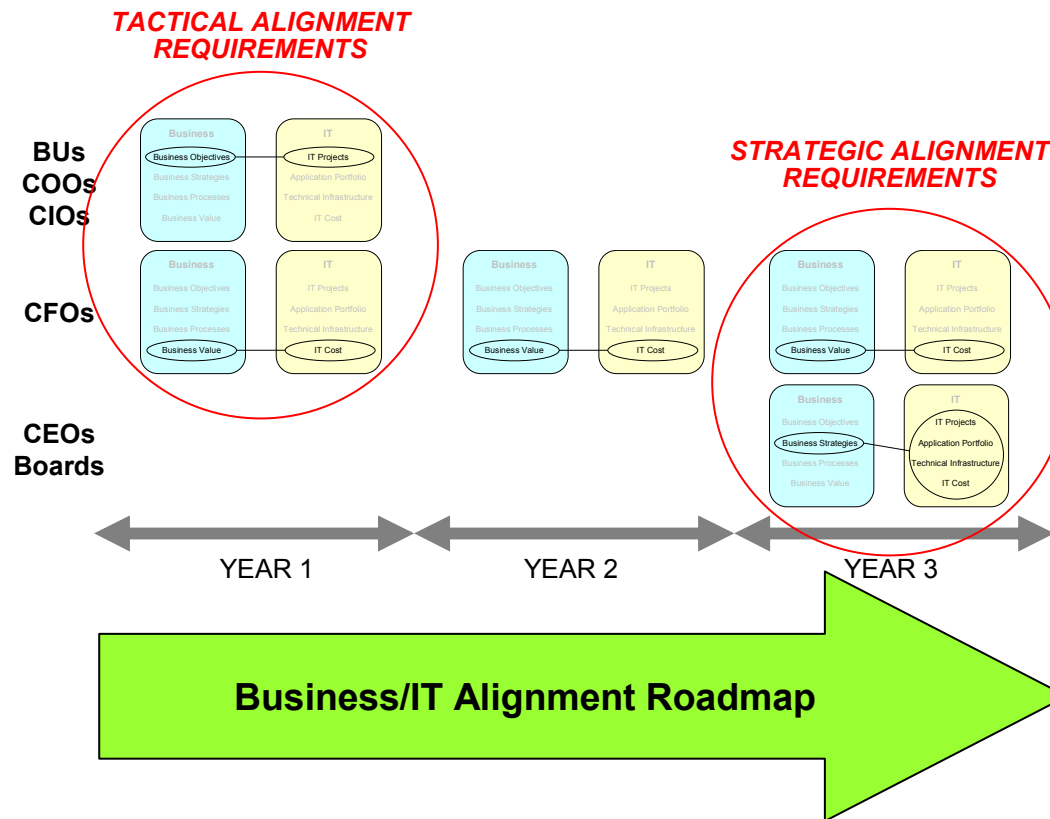


Challenges

- A common mistake we see is that artifacts attempting to demonstrate “**Business/IT Alignment**” focus on a single point in time (or ignore ‘time’ as a key descriptor)
- Each Audience may have a different timeframe in mind
- Each Audience may have multiple timeframes in mind

Multiple Audiences – Multiple Horizons

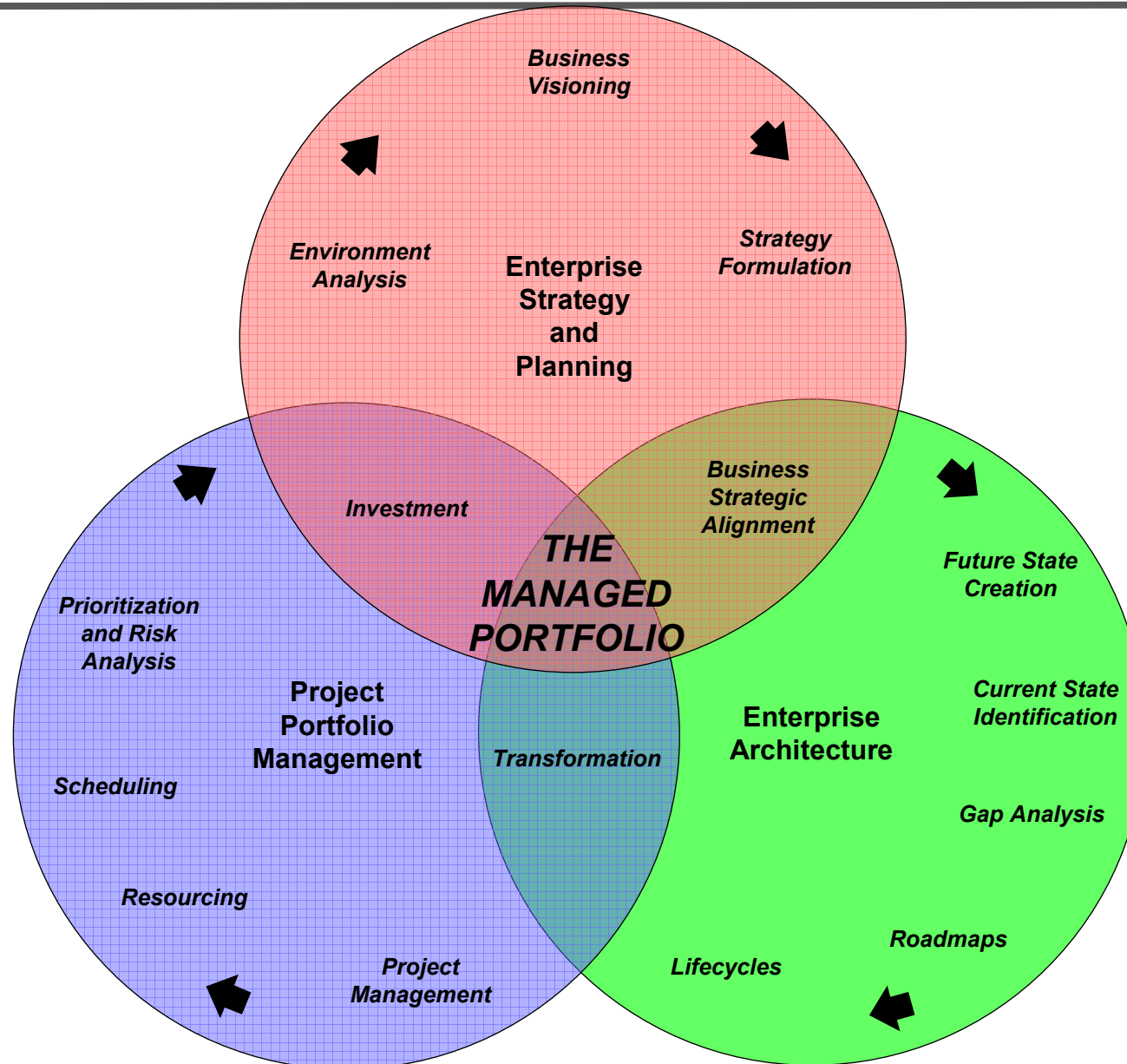
This is only an example. Not meant to imply that all CIOs only focus on tactics or that all CEOs only focus on strategy. Etc. Etc.



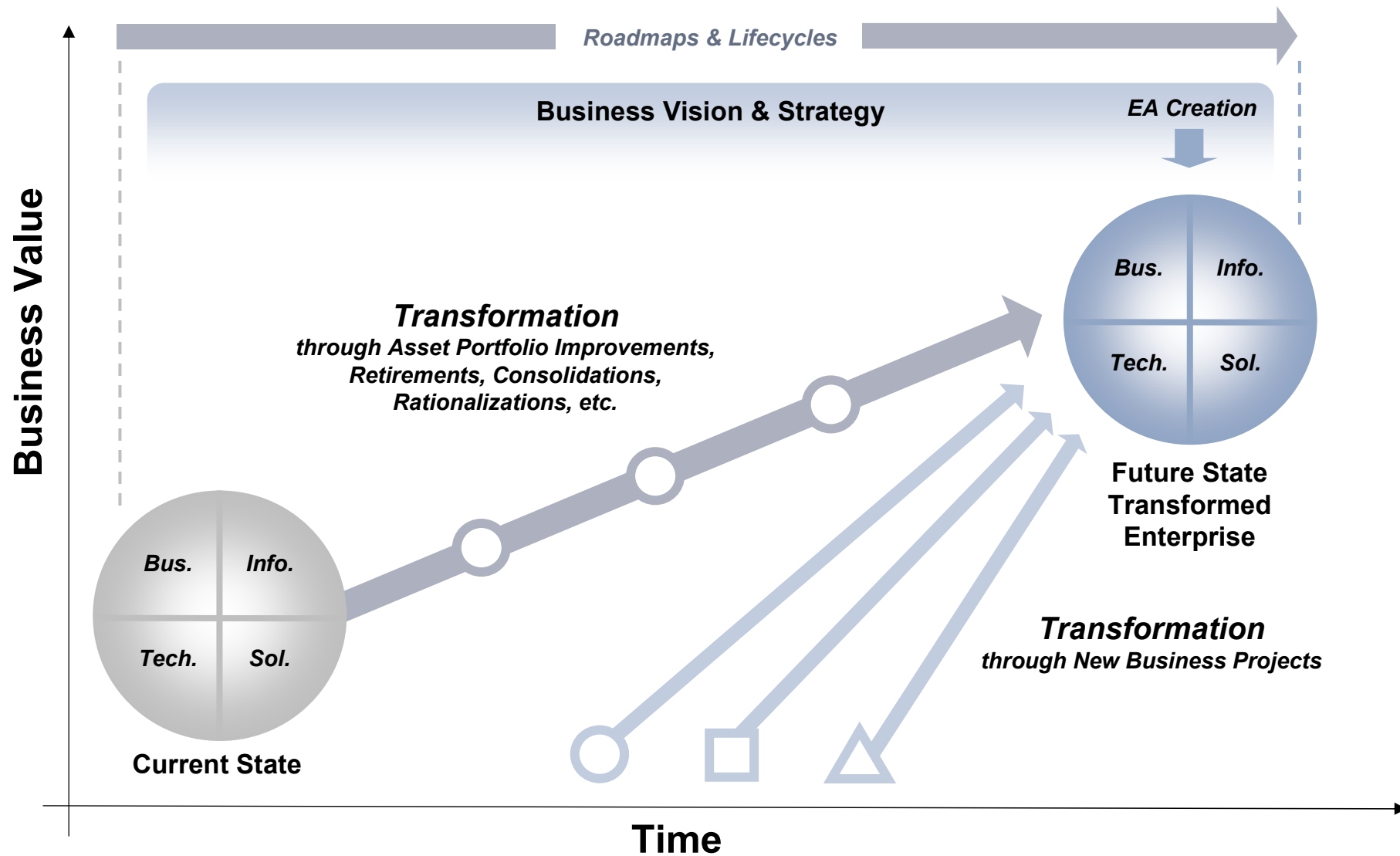
In addition to understanding and accounting for multiple Audiences and multiple Alignment Horizons, we also need to prepare a credible Business/IT Alignment Roadmap

- 1. Enterprise wants to change**
 - Sometimes, 'change' is a survival imperative
- 2. Enterprises are complex and business processes are not well understood or documented**
 - Often lack adequate measurement
 - Numerous exceptions – often undocumented
- 3. Change rates are accelerating**
 - The full impact of change is unknown
- 4. Accommodating change is very expensive, time-consuming and an obstacle to success**
- 5. Information Technology is a complex and fundamental enabler, but one that is difficult to change quickly**
- 6. Systems integration is haphazard at best, non-existent at worst**
- 7. Applications and Projects are not optimally managed, if at all**
- 8. Strong desire to reduce IT costs not increase IT capital budgets**
- 9. Strong desire to 'innovate' using new technology and optimized processes – but where to begin**
- 10. Difficult to look at everything in a holistic and organized manner**

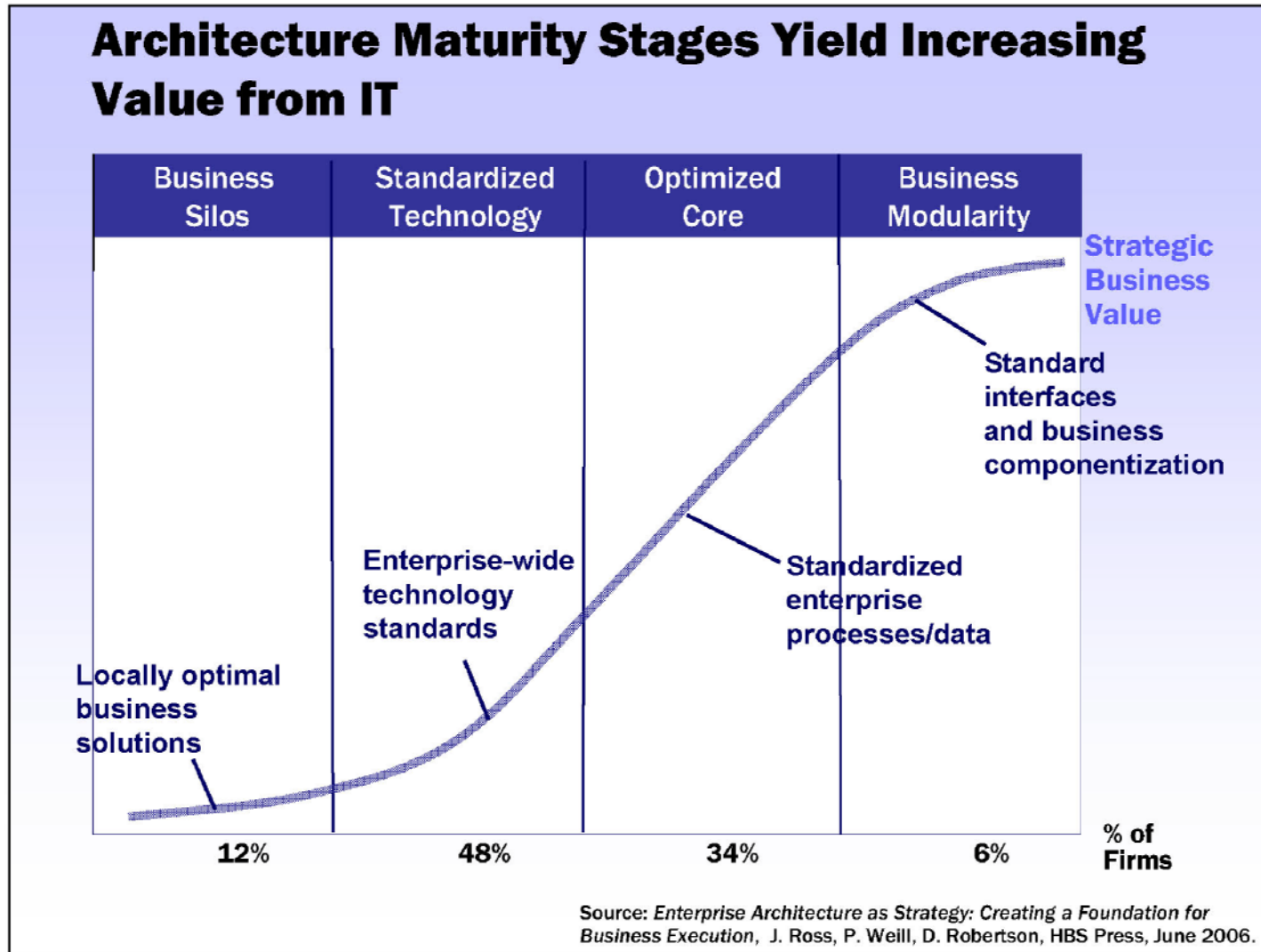
The Portfolio Processes



Driving Business Transformation



- Expresses the impact of Business Strategy on the operations of your business, the information you need, the applications that support your business, and the infrastructure upon which they are built
- Establishes a set of principles that drives consistent decision making across disparate groups of decision makers
- Establishes/Publishes/Evolves a set of standards and guidelines from which projects and other implementation activities take direction
- Creates models that provide a broad context for impact analysis, scenario planning, reuse opportunity identification
- Compares the future state against the current state and develops a Roadmap that shows how to migrate from As-Is to To-Be
- Creates an environment of collaboration and consensus-building between management, architects, SMEs, analysts, developers and business sponsors



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- **Our perspective: EA must be driven by the overarching business strategy of the 'Enterprise'**
 - Reflective of the desired operating model*
 - Take a holistic view
 - Identifying and enabling requirements for business capabilities that are enterprise-wide in scope (often not clearly articulated by the business)
 - Make decisions that are optimal for the enterprise not a specific project or LOB

- **Consequently, EA efforts must emphasize an 'E'-view**
 - The scope of EA is THE ENTERPRISE
 - “Solidify the Abstract” and “Simplify the Complex”
 - Gaining stakeholder support
 - EA team structure and participants
 - Governance
 - Communication

- **EA must demonstrate clear & unambiguous enterprise-wide linkages; and, as appropriate, explicit decomposition**
 - Enterprise Business Strategy to EA & Project Portfolio Management
 - Business Architecture to Information Architecture to Application Architecture to Technology Architecture

* Enterprise Architecture as Strategy: Creating a Foundation for Business Execution by Peter Weill, David C. Robertson and Jeanne W. Ross

- **Capabilities are written to be understood by the business**
- **Capabilities suggest potential initiatives to be considered for project portfolio**
- **Capabilities are NOT current project-level requirements, but they should be compared to current and planned projects to incorporate/accommodate future needs in current implementations**
- **Capabilities should be revisited periodically (as new strategic plans are developed) and when major environmental trends or business factors indicate significant change (such as a merger/acquisition)**
- **Maintain linkages between trends, strategies and capabilities**
- **Use Capabilities to help give future-context to all planning activities**

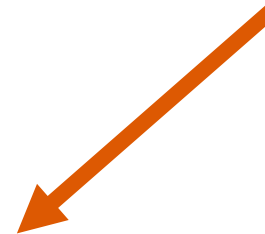
- **Business Capability**
 - Reduce “opportunity to proposal” conversion time by 60%, from 10 to 4 business days
 - Use partner channels for targeted marketing campaigns to qualified prospects
- **Information Capability**
 - Sales/sales administration requires details of product/offering information in real time
 - Sales/sales administration requires details of all proposals and sales plans daily
- **Technology Capability**
 - Securely extend network to channel partners
 - Provide cross-enterprise workflow management capabilities
- **Solution Capability**
 - Coordinated, enterprisewide proposal generation to be utilized by product planning, customer fulfillment, sales, development, and consulting
 - Enterprisewide campaign management that coordinates development, customer delivery, marketing, sales, and resource management activities

Creating Linkage

	Trend A	Trend B	Trend C	Trend D
EBS 1	X	X		
EBS 2		X		
EBS 3				X



	EBS 1	EBS 2	EBS 3
BCC 1	X		
BCC 2		X	X
BCC 3	X	X	
BCC 4			X
BCC 5	X		
BCC 6	X	X	
BCC 7		X	
BCC 8	X		
BCC 9			X



	BCC 1	BCC 2	BCC 3	BCC 4	BCC 5	BCC 6	BCC 7	BCC 8	BCC 9
ICC 1							X		
ICC 2	X	X	X					X	X
ICC 3		X			X		X		X
ICC 4	X		X						
ICC 5				X			X	X	
ICC 6		X					X		X
ICC 7			X			X			X



	ICC 1	ICC 2	...	ICC N
TCC 1	X			
TCC 2		X		X
TCC 3	X	X		
.				X
.	X			
.	X	X		
TCC n		X		

7 'Best Practices' – Business/IT Alignment



- **Alignment artifacts are effective with the target audience**
- **Best artifacts are clear & 'stand alone'**
 - i.e. don't require a 'story teller'
- **Best artifacts have a high 'pass along' quotient**
- **Best artifacts are a single page**
- **Best artifacts emphasize metrics that are important to the business**
- **Get external review of your draft artifacts**
- **Always touch on 'tactical' & 'strategic'**
 - It is only an issue of degree
 - A cautionary note for CIOs as we enter into a possible recession

Sample Functional Hierarchy (FH)



The diagram below represents the first two levels of the Functional Hierarchy for the hypothetical company we will use.

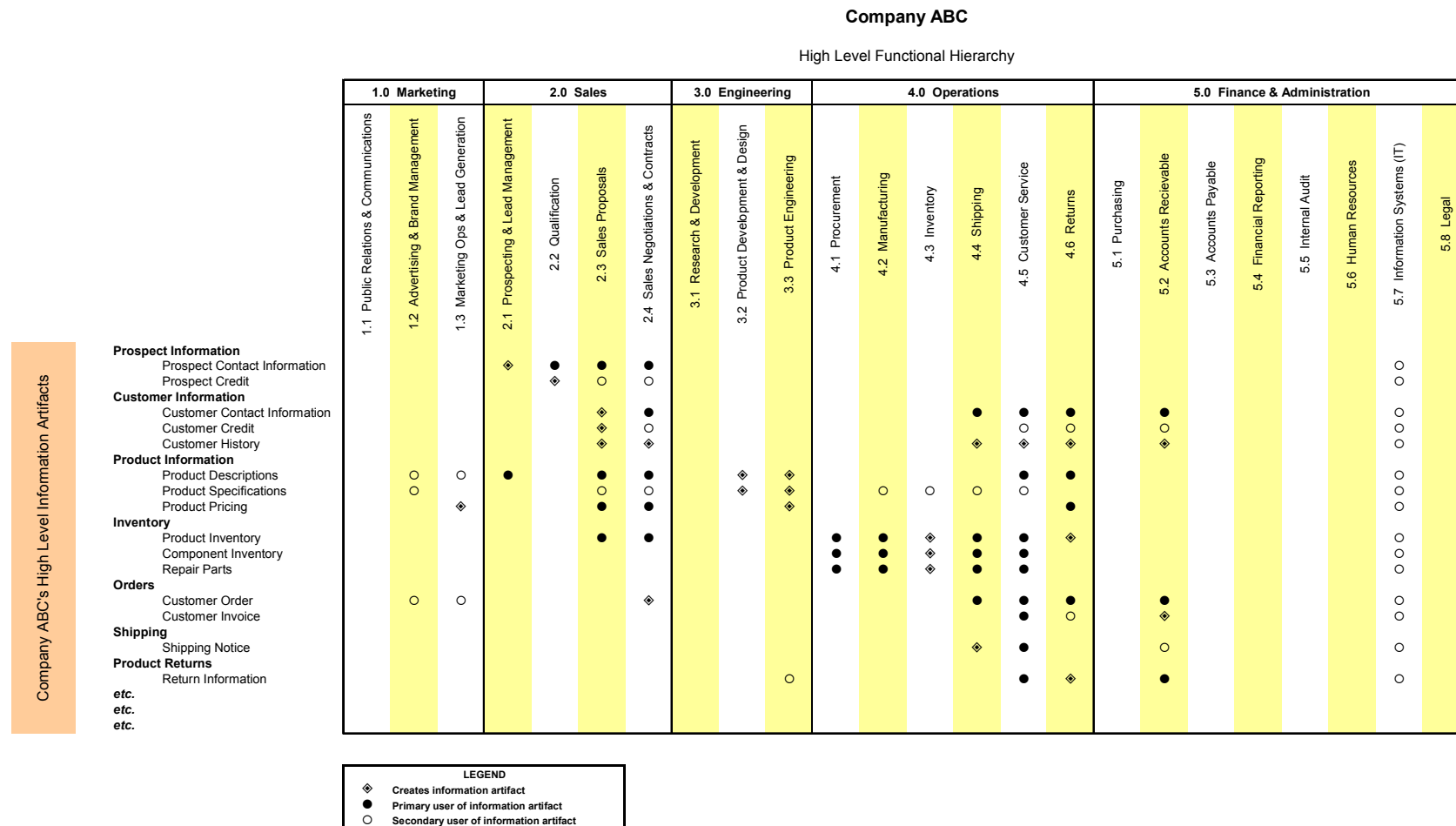
Company ABC

High Level Functional Hierarchy

1.0 Marketing			2.0 Sales			3.0 Engineering		4.0 Operations				5.0 Finance & Administration											
1.1 Public Relations & Communications	1.2 Advertising & Brand Management	1.3 Marketing Ops & Lead Generation	2.1 Prospecting & Lead Management	2.2 Qualification	2.3 Sales Proposals	2.4 Sales Negotiations & Contracts	3.1 Research & Development	3.2 Product Development & Design	3.3 Product Engineering	4.1 Procurement	4.2 Manufacturing	4.3 Inventory	4.4 Shipping	4.5 Customer Service	4.6 Returns	5.1 Purchasing	5.2 Accounts Receivable	5.3 Accounts Payable	5.4 Financial Reporting	5.5 Internal Audit	5.6 Human Resources	5.7 Information Systems (IT)	5.8 Legal

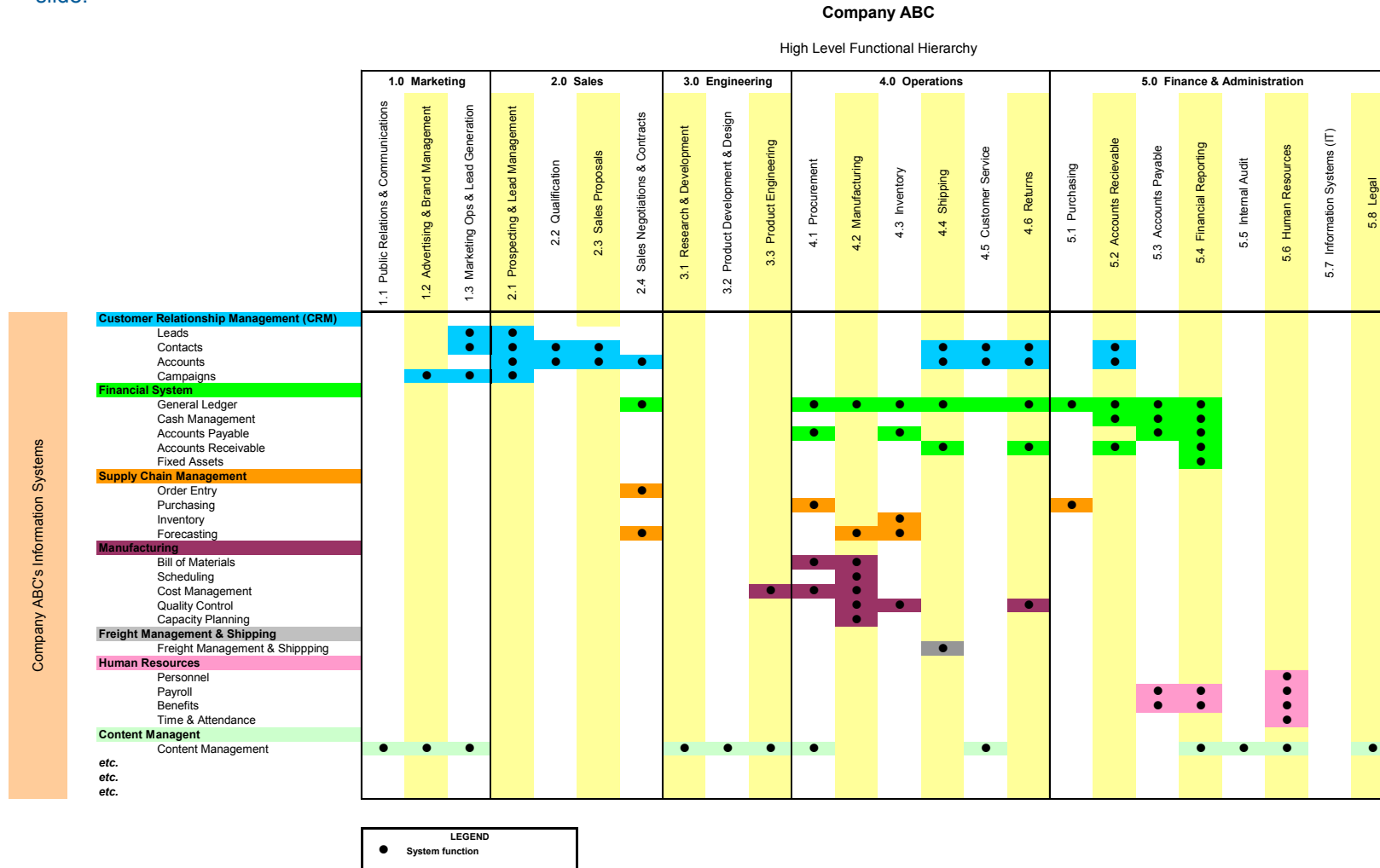
Mapping Information Artifacts to the FH

In the diagram below, the Information Artifacts are listed down the left hand side and then mapped to the Functional Hierarchy. Over time some organizations refine this diagram to include information about which Functions can modify the Information Artifact as well as selected metrics (e.g. Number of Customer Orders, Processing Time).



Mapping the Application Systems to the FH

In the diagram below, the Application Systems are mapped to the FH. This can be very effective in understanding which applications support which functions as well as possible overlap. The Application Systems use the same color coding in this map as in the previous slide.



EA is a management competency that:



- **Is a vehicle to achieve strategic alignment**
- **Expresses all dimensions of the enterprise**
 - Holistic across strategy, tactics, assets, projects
 - Business, Information, Technology and Solutions views
- **Links Strategy to Projects through an Asset view**
- **Communicates the “enterprise” perspective**
 - Incorporating multiple audience views and time horizons
 - Changes the way the enterprise thinks, analyzes and decides
- **Is part of the Governance and Portfolio Management Ecosystem**
- **Is Prescriptive and Actionable through directives, principles and roadmaps**
- **Helps drive improvement in the relationship between the business and the IT organization**
- **Is the one place in the enterprise that represent the best interests of everyone**

Thank-You! (www.EAdirections.com)



George S. Paras



Larry R. DeBoever



Tim Westbrook

- **Founded by Larry R. DeBoever, George S. Paras, Tim Westbrook**
 - 50+ years of combined leadership in Enterprise Architecture
 - Launched the Enterprise Architecture Strategies (EAS) service at the META Group in 1996
 - Launched the EAC with in 1997, now produced by IIR
- **Core offerings:**
 - Coaching & Teaming Relationship: 12 month EA advisory service with dedicated mentor
 - Rapid EA Assessments, Education, Briefings, Workshops and Conferences
- **Our Mission - Improve the effectiveness of enterprise architecture (EA) teams by creating deep, mentoring relationships driven by independent research.**

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